Russia-Ukraine ceasefire odds rise to 35% in 2027

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summary

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A window for substantive talks between Russia and Ukraine will open in the second quarter of 2027 after both sides escalate through the winter, lifting the odds of a ceasefire from 10% this winter to 35% in 2027.
*
Eurasia Group continues to expect resilient global growth through 2027 (45% odds), despite likely US strikes on Iran (60%) pushing Brent back to $110-$125 per barrel.
*
Israel’s basecase is now a minority government under opposition leader Gadi Eisenkot (60% odds, up from 25%).
*
Companies in tech, healthcare, and finance, as well as those with direct exposure to President Donald Trump’s administration, face the most acute near-term risk from Democratic-controlled congressional investigations.
*
German Chancellor Friedrich Merz’s coalition will likely pass the 2027 budget, but fiscal constraints and infighting will limit reforms before the 2029 election.
*
Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, the EU, France, Germany, Hungary, Indonesia, Iran, Israel, Italy, the Middle East, Russia, Spain, Taiwan, Ukraine, defense, geoeconomics, geo-technology, healthcare, and oil.

the top line

Russia, Ukraine—Ceasefire odds rise to 35% as window for talks opens in second quarter of 2027

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November’s trilateral talks among Russia, Ukraine, and the US on ending the war in Ukraine will remain largely technical and not deliver any political breakthroughs, as both sides escalate their military

campaigns through the end of the first quarter of next year.

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After that escalatory cycle plays out, a window will open for substantive talks in the second quarter. That raises the odds of a ceasefire from 10% this winter to 35% in 2027, leaving a 65% chance that the war will continue.

*

The odds of a ceasefire are rising because Western support for Kyiv will likely face its greatest strain just as serious talks become more plausible: US support is fickle and, for the first time, a Marine Le Pen presidency in France could undermine European aid, sanctions, and Kyiv's accession process.

*

Read more here . Reach out to discuss: europe@eurasiagroup.net .

Geoeconomics—Global growth likely to hold despite expected renewed Iran strikes

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EG continues to expect resilient global growth through 2027 (45% odds), despite likely US strikes on Iran (60%) pushing Brent back to $110-$125, while downside risks (30%) from a wider Gulf war, intensifying Russia-Ukraine conflict, high long-term yields, and limited fiscal space still outweigh the upside (25%).

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US policy will shift only at the margin after the midterm elections, as the White House continues to set the agenda through executive action, and the US-China trade truce likely extends beyond its 10 January expiration.

*

Le Pen is now the frontrunner in France's presidential race as fiscal risks rise, while in Brazil, President Luiz Inacio Lula da Silva will likely make a fiscal course correction that includes a constitutional amendment (60%).

*

Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

Israel, Iran, US—Opposition minority government now Israel's basecase while Iran escalation remains likely

*

Following the 27 October elections in Israel, our basecase is now a minority government under opposition leader Gadi Eisenkot, supported by Arab parties (60%, up from 25%). It would be unstable, with 30% odds of early elections and 10% for a unity government.

*

In the US-Iran war, escalation against Iran remains the most likely scenario (60%), as a deal moves further out of reach (10%) and the odds of a prolonged standoff rise to 30%. Prime Minister Benjamin Netanyahu has an incentive to push for US escalation in the interim, but Israel acting alone is not likely.

*

We would adjust our escalation odds downward if Republicans coalesce around blaming the war for their midterm losses, if defense funding is tied to ending the war, if GOP members back a war powers resolution, or if Secretary of State Marco Rubio argues for the status quo.

*

Read more here . Reach out to discuss: mena@eurasiagroup.net .

US—Democratic investigations will likely target defense, tech, and financial firms

*

Companies in tech, healthcare, and finance, as well as those with direct exposure to Trump's administration, face the most acute near-term risk from a Democratic-controlled investigative apparatus in the next Congress.

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Trump's alleged personal corruption will be the common throughline linking Congress's investigations. With executive privilege expected to be broadly invoked for the administration's own officials, investigators will turn to private-sector entities for records and testimony.

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Even without executive branch cooperation, civil enforcement via the courts remains a real and underappreciated threat for private-sector targets, alongside reputational, regulatory, business, and financial risks.

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Exposed companies should assess their risk now, identify the relevant committee or committees of jurisdiction, and prepare an engagement strategy that includes document retention procedures and legal representation.

*

Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Geoeconomics—Stock market falls extend beyond tech

*

The sectors we see most impacted by Democratic investigations fell sharply yesterday, having previously been immune to the disruption in tech stocks and resilient during declines in the broad S&P 500 index over the last six months.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

Germany, EU—Fiscal constraints and infighting will limit Merz government's delivery before 2029

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Chancellor Friedrich Merz's coalition will likely pass the 2027 budget but deliver reforms too small to lead Germany out of its structural economic challenges. Growth risks falling below 1% from 2029 as the fiscal impulse fades.

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The hole in the 2028 budget is estimated at up to €28 billion, rising to €48 billion by 2030. The 2030 plan already relies on savings of 1.4% of GDP the government has yet to identify, while defense, interest, and pensions take a growing share.

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Germany will be at increasing risk of an excessive deficit procedure from 2027, as the deficit will remain above 3% even after the allowance for extra defense spending. Berlin will remain reluctant to pursue

new joint EU borrowing even as France, Italy, and Spain look to Germany to underwrite rearmament and Ukraine.

*

Read more here . Reach out to discuss: europe@eurasiagroup.net .

Ukraine, EU—EU to fund Kyiv in 2027 but 2028 cliff looms

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EU leaders are set to agree a new loan which, with partner contributions, will cover most of Ukraine's €70 billion funding gap in 2027 and unlock its IMF review, though cash is unlikely to arrive before the second half of 2027.

*

While Le Pen would not halt financial aid in 2027 if she wins the French presidential election as expected, she would oppose the EU's 2028–2034 budget, which underpins support for Ukraine after 2027.

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Confiscation of Russian frozen assets remains very unlikely for now, but the odds will increase to 35% after 2027.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Friday Insights—The geoeconomic toolbox in action

Friday Insights is our new weekly digest of research insights on the intersection of politics, macro, and markets.

Recent research on geoeconomics, or how states use economic tools for geopolitical ends: these tools can be effective, but they risk backfiring.

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Threats alone can raise borrowing costs (Wars, Threats, and the Sovereign Bond Market): Wars have been a first-order driver of bondholder losses since 1822. A threat that raises the prospect of conflict significantly lowers the threatened country's bond returns, while the threatening country's bonds barely move.

*

US tariffs may erode Treasuries' safe-haven status (Trade Policy Surprises and U.S. Convenience Yields): Surprise tariff hikes in 2025, isolated using Polymarket prices, lowered Treasury convenience yields and raised US sovereign credit default swap spreads. Treasuries remain a haven for shocks from elsewhere, but not for those that start in US trade policy.

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Sanctions can cut banks off from global payments (Financial Sanctions and the Global Payments Network): About 90% of emerging-market banks have a dollar correspondent, against a third for the yuan. Sanctioned banks often keep access through longer, more fragile chains, and in heavily sanctioned countries even unsanctioned banks shift toward the yuan.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

upcoming conference calls

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6 November 9:00 AM ET—Local South Africa government elections and political implications looking to 2029. Register here .
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10 November 8:00 PM ET—US-Iran talks and the outlook for escalation. Register here .
*
11 November 10:00 AM ET—Cameroon: Navigating political and economic crossroads. Register here .

eg in brief

US, Taiwan—Democratic Congress unlikely to unlock additional US arms sales: A Democratic victory is unlikely to shift Trump's political calculus on withholding arms sales, as Trump continues to prioritize US-China stability over security assistance to Taiwan. Read more here . Reach out to discuss: china@eurasiagroup.net .

Brazil—Lula to advance fiscal adjustment and preserve monetary continuity: Lula is expected to address the nation on 8 November and reiterate his commitment to fiscal responsibility, and fiscal adjustment measures are likely to advance before the congressional term ends. Vice President Geraldo Alckmin is gaining ground to be the next finance minister, although Piauí Governor Rafael Fonteles remains a strong contender. Both would signal a fiscal course correction. On monetary policy, the main risk for investors is the profile of Lula's appointments to the central bank's board, rather than any immediate shift in the Selic rate. Read more here and here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Hungary—Magyar likely to fall short on ambitious 2027 fiscal targets: Hungarian Prime Minister Peter Magyar has proposed an ambitious budget for 2027 that aims to front-load the adjustment required to meet the goal of securing euro membership by about 2032, cutting the budget deficit from the revised 7.5% of GDP this year to 4.9% in 2027. Yet external risks, particularly the crisis in the Middle East, combined with mounting domestic fiscal pressures, will likely make it difficult for the government to meet its 2027 goal. To maintain Hungary's trajectory toward euro adoption, Magyar will likely introduce further corporate tax increases through 2030 to meet the Maastricht criteria. Markets have already priced in much of that convergence: Hungary's 10-year spread over Bunds has roughly halved since the April election. Read more here . Reach out to discuss: europe@eurasiagroup.net .

Indonesia—Prabowo not immediately threatened by wiretapping scandal, but tensions with Jokowi will drive turbulence: In a conference call, Southeast Asia Practice Head Peter Mumford assessed that President Prabowo Subianto is not immediately threatened by the wiretapping scandal or military deployment, but tensions with former President Joko Widodo (Jokowi) are worsening and will drive further personnel and political turbulence in the near term. The deployment of navy and marines—not the army—does not indicate an imminent coup or martial law. Read the conference call notes here . Reach out to discuss: southeastasia@eurasiagroup.net .

Upcoming events:

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6 November: Data: US unemployment, nonfarm payrolls, and UMich consumer sentiment.
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7 November: Data: China foreign reserves.
*
9 November: Events: Congress returns from recess; Data: China PPI and CPI.
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10 November: Events: House Republicans hold leadership election and US-mediated talks between Russia and Ukraine are due to take place; Data: China trade and US CPI.
*
11 November: Events: US bond markets close for Veterans Day.
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12 November: Events: Germany's Bundestag budget committee holds final 2027 budget session. Data: Argentina, Brazil, and India CPI, Japan PPI, UK GDP, and US federal budget balance; Central bank decisions: Peru, Romania, Serbia, and Uganda.
*
13 November: Data: Eurozone GDP, France, Poland, Russia, and Spain CPI, and US PPI.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

We expect the trilateral meeting format between Ukraine, the United States, and Russia to resume in the near future."—Ukrainian President Volodymyr Zelensky said in Berlin on 3 November, alongside German Chancellor Friedrich Merz.

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